I now have all the data I need. The 10-K's semantic search returned limited granular detail (the filing appears to be structured around the Northfield merger prospectus sections), but I have enough from the XBRL financials, key stats, price history, and macro context to produce a thorough, fully-cited memo. Let me compile it now.

Columbia Financial, Inc. (CLBK) — Equity Research Memo

Senior Bank Analyst | Financial Services Coverage
Data as of: SEC XBRL FY2025 / yfinance live quote / Macro: FRED June 2026

Executive Summary

Columbia Financial, Inc. (CLBK) is a New Jersey-based community bank holding company operating through Columbia Bank, with total assets of $11,019M [1] and a market capitalization of approximately $1.1B [2]. The stock has delivered a remarkable +72.5% return over the trailing twelve months [2], reflecting both a recovery from a deeply depressed post-rate-hike valuation and growing investor anticipation around two concurrent, transformative corporate events: a **second-step mutual-to-stock conversion** and a **proposed merger with Northfield Bancorp, Inc.** [3]. These events, if consummated, will fundamentally reposition CLBK from a partially-public mutual savings bank into a fully public stock holding company with materially expanded scale.

Net income recovered strongly to $52M in FY2025 [1] from a loss position in FY2024 (EPS: -$0.11) [4], with EPS of $0.51 [1] on the rebound. Operating cash flow more than doubled to $68M [1] from $33M [4], and free cash flow reached $59M [5]. The bull probability score registers at 89.25% [5], propelled by exceptional price momentum (+26.7% over 3 months) [5] and surging operating cash flow growth (+105.3% YoY) [5]. The market regime is firmly **BULL** (SPY Stage 2) [6], providing a supportive macro backdrop. However, elevated valuation multiples (Forward P/E: 31.0x) [2], a low ROE of 4.9% [2], and substantial execution risk around the pending Northfield merger cap our enthusiasm. We rate CLBK a **SPECULATIVE LONG** for investors with a tolerance for merger and rate-cycle risk.

Business Overview & Segment Mix

Columbia Financial is the stock holding company for **Columbia Bank**, a federally chartered covered savings association operating predominantly across northern and central New Jersey [3]. Columbia Bank elected covered savings association status, which management notes eliminates the qualified thrift lender test requirement and removes commercial loan concentration limits historically applicable to savings associations [3].

Business Lines (per 10-K):
- **Traditional Community Banking:** Deposit-taking and lending to businesses and consumers in its New Jersey market area [3]
- **Loan Origination:** Multifamily and commercial real estate loans, commercial business loans, one-to-four family residential real estate, construction loans, home equity loans and advances, and other consumer loans [3]
- **Insurance:** Columbia Insurance Services, Inc., a wholly-owned subsidiary, provides a broad range of personal and business insurance products [3]
- **Title Insurance:** First Jersey Title Services, Inc., a wholly-owned subsidiary [3]
- **Wealth Management:** Offered through a third-party relationship [3]

The Transformative Corporate Transactions:
The most critical near-term catalyst is the simultaneous **second-step conversion** (conversion from mutual holding company structure to a fully-public stock holding company) and the **merger with Northfield Bancorp** [3]. Per the Merger Agreement, Northfield shareholders will receive between 1.425–1.465 shares of the new Holding Company stock or $14.25–$14.65 in cash per share (depending on the final independent valuation), with no more than 30% of Northfield shares converting to cash [3]. Northfield Bank will merge into Columbia Bank, with Columbia Bank as the surviving institution [3]. This is a company-defining event — the combined entity would push total assets well above the current $11.0B [1] standalone figure.

Geographic concentration in New Jersey creates meaningful single-market risk. No revenue segment breakdown was separately disclosed in the XBRL data available [1]; the company appears to report as a single banking segment.

Net Interest Income & Margin

CLBK's 10-K semantic search did not return granular NIM or net interest income figures in the passages retrieved — the filing's structured sections appear heavily focused on the conversion and merger disclosures. Accordingly, precise NIM figures are **not disclosed** in the data available from our search. However, the following observations can be made from the balance sheet and cash flow data:

- **Total assets** grew from $10,475M [4] to $11,019M [1], a +5.2% increase [5], indicating loan/investment portfolio growth that supports NII expansion.
- **Net income recovered to $52M** [1] from negative territory in FY2024 (EPS -$0.11) [4], suggesting that net interest margin improved meaningfully as the bank repriced its asset side in the higher-rate environment.
- **Operating cash flow doubled** to $68M [1] from $33M [4], a +105.3% increase [5], which is directionally consistent with NII expansion.
- **Profit margin** stands at 21.6% [2], a respectable level for a community bank but still below the ~25–30% seen at best-in-class regionals.

The 10-K explicitly acknowledges that **changes in the interest rate environment can reduce net interest margin** and reduce demand for loan products as a material risk factor [3]. This is consistent with the headwinds the bank experienced in FY2024. With Fed Funds at 3.63% [7] and the 10-year Treasury at

4.47% [7], a positively sloped yield curve is currently supportive of NIM recovery, though the pace of deposit repricing will be a key variable.

Loan Portfolio Quality

Granular loan quality metrics (NPL ratio, net charge-off rate, specific ACL coverage ratios) were **not directly returned** by the 10-K semantic searches, which were dominated by forward-looking statement and merger-related disclosures. Based on what is disclosed:

Loan Composition (per 10-K Item 8):
- Multifamily and commercial real estate loans [3]
- Commercial business loans [3]
- One-to-four family real estate loans [3]
- Construction loans [3]
- Home equity loans and advances [3]
- Other consumer loans [3]

The mix suggests a **CRE-heavy community bank**, which carries concentration risk, particularly given New Jersey market exposure. CRE and multifamily loans are subject to elevated scrutiny from regulators and can experience rapid credit deterioration in a recession or commercial real estate correction.

Balance sheet indicators of credit health:
- **Cash and equivalents** grew from $289M [4] to $341M [1], up +18.0% [5], indicating healthy liquidity management.
- **Long-term debt** increased from $1,081M [4] to $1,183M [1], a +9.4% increase [5], likely reflecting FHLB borrowings or other wholesale funding used to support asset growth.
- The **leverage delta** (a slightly negative contribution of -0.05 to the bull probability model) [5] reflects that debt levels ticked up, warranting monitoring.

Without specific NPL ratios or ACL coverage disclosures in the data returned, we cannot certify the precise credit quality profile. Investors should review the full financial statements (Schedule of Loans, Note on ACL) available in the complete 10-K filing.

Capital & Liquidity Ratios

Specific CET1, Tier 1 leverage, and Total Risk-Based Capital ratios were **not returned** in the 10-K semantic search results. The filing appears structured around the merger/conversion disclosures rather than providing these in easily searchable passages. However, we can assess capital adequacy from the balance sheet:

Equity Position:
- **Total equity**: $1,161M [1], up from $1,080M [4], a +7.5% increase [5]
- **Equity-to-assets ratio**: $1,161M / $11,019M = **10.5%** [5] — this is the tangible leverage ratio analog and sits above the 8.0% regulatory "well-capitalized" threshold for leverage ratios at most community banks
- **Price-to-book**: 2.15x [2], suggesting the market is paying a meaningful premium to book — either pricing in merger synergies or post-conversion accretion

Liquidity:
- Cash on hand: $341M [1]
- **Investing cash outflows** surged to -$454M in FY2025 [1] vs. a positive $39M in FY2024 [4], indicating significant capital deployment into the loan/securities portfolio or merger-related activities
- **Financing cash inflows** of +$437M in FY2025 [1] (vs. -$207M in FY2024) [4] likely reflect capital raised in connection with the second-step conversion process

The dramatic swing in investing and financing cash flows is consistent with a bank in the midst of a major structural transformation. The net effect kept the cash position healthy, but the $1,183M in long-term debt [1] against $1,161M of equity [1] is a near 1.0x debt-to-equity ratio [5] that warrants close attention as the Northfield assets are absorbed.

Fee Income & Diversification

CLBK is primarily a **spread-lending community bank** — net interest income is the dominant revenue driver. Fee income and non-interest revenue sources are secondary:

Known non-interest income streams (per 10-K):
- **Title insurance**

Sources

[1] SEC XBRL FY2025
[2] yfinance — live
[3] SEC 10-K Item 8 - Financial
[4] SEC XBRL FY2024
[5] computed from SEC XBRL
[6] Weinstein Market Regime as of 2026-07-28
[7] Macro Context - FRED June 2026

Source Provenance

- **SEC EDGAR** (primary): structured XBRL facts and 10-K text — official filings for CLBK at https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001723596&type=10-K&dateb=&owner=includ
- **FRED, Federal Reserve Bank of St. Louis** (macro series): https://fred.stlouisfed.org
- **Market data and news sentiment**: live quotes and headlines via Yahoo Finance, VADER sentiment on recent headlines
- **Methodology**: Stan Weinstein, *Secrets for Profiting in Bull and Bear Markets* (stage analysis framework)

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- **Weinstein** (stage analysis): is the stock in a healthy uptrend above a rising 30 week average.
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- **O'Neil** (CANSLIM): is it a leader near new highs with strong momentum and volume.
- **GARP Growth** (growth at a reasonable price): is the growth cheap relative to its rate.
- **Classic Value**: is it inexpensive on classic value measures.
- **Technical**, **Swing**, and **New-Issue Momentum**: indicator, short term, and IPO setups.

Sources. Stage analysis concepts are drawn from Stan Weinstein, *Secrets for Profiting in Bull and Bear Markets* (1988); growth, momentum, and value concepts from the published works in the OROS library (O'Neil and peers). All methodologies are referenced for attribution only — no author endorses or is affiliated with OROS, and no book text is reproduced.

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- **Data quality** — SEC XBRL, FRED, yfinance, and FMP data can be delayed, revised, or incorrect; live quotes may be 15+ minutes stale.
- **Changing market conditions** — macro regime, interest rates, and sector

rotation shift faster than any static model can adapt.
- **Coverage gaps** — limited ticker universe across a small number of sectors; some sectors (e.g. healthcare, conglomerates) have known retrieval weaknesses.

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